

Applied Economics

BCA — Semester VI — 2021 — Answer Sheet

Subject Code:

Note: This answer sheet is currently a template. Detailed answers will be added progressively. Students are encouraged to refer to textbooks and class notes.

Group C Attempt any TWO questions[2x10=20]

2. Distinguish the concepts of microeconomics and macroeconomics.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

3. What is demand? Explain its determinants.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

4. a) A consumer buys 80 units of a goods at a price of Rs.4 per unit. When the price falls, he buys 100 units. If the price elasticity of demand is -1, find out the new price of the goods. b) Price elasticity of supply of a good is 5. A producer sells 500 units of this good at Rs.5 per unit. How much will sell at the price of Rs.6 per unit?

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

5. 'Price effect is the combination of income and substitution effect.' Describe.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

6. Explain the relationships between AR and MR.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

7. How price and output are determined under perfect competition market in the long-run?

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

8. Explain the primary and secondary functions of money.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

9. Explain the properties of the Indifference Curve.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

10. Based on the table given below, answer the questions:

Quantity of output	0	1	2	3	4	5
Total Variable cost	0	20	30	48	90	170
Total cost	30	50	60	78	120	200

a) Plot the TFC, TVC and the TC curves. b) Explain the reason for the shape of short-run total cost curves. c) Calculate the average fixed cost (AFC), the average variable cost (AVC), the average total cost (ATC), and the marginal cost (MC).

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

11. Consider the following data to calculate the following.

S.No	Particulars	Rs (In crores)
1	Exports of Goods and Services	35422
2	Imports of Goods and Services	36323
3	Private Final Consumption Expenditure	58326
4	Net Factor Income from Abroad (NFIA)	(-)5685
5	Subsidies	6746
6	Capital Consumption Allowances (Depreciation)	44347
7	Compensation of Employees	26726
8	Government's Final consumption Expenditure	76029
9	Indirect Taxes	7728
10	Gross Fixed Capital Formation	12610
11	Mixed Income of the Self-employees	32224
12	Interest, Rent and Profit (Operating Surplus)	10088
13	Change in Stocks	2078

a) GDPMP by using income method and by expenditure method. b) GDPFC and GNPMP. c) NNPF and NNMP.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

These answer sheets are prepared for educational purposes. Students are encouraged to verify with official textbooks and course materials.